

1. Econometrics is the branch of economics that _____.
 - a. studies the behavior of individual economic agents in making economic decisions
 - b. develops and uses statistical methods for estimating economic relationships
 - c. deals with the performance, structure, behavior, and decision-making of an economy as a whole
 - d. applies graphical methods to represent economic theories and solve economic problems

2. A data set that consists of a sample of individuals, households, firms, cities, states, countries, or a variety of other units, taken at a given point in time, is called a(n) _____.
 - a. cross-sectional data set
 - b. longitudinal data set
 - c. time series data set
 - d. experimental data set

3. Data on the income of law graduates collected at different times during the same year is _____.
 - a. panel data
 - b. experimental data
 - c. time series data
 - d. cross-sectional data

4. A data set that consists of observations on a variable or several variables over time is called a _____ data set.
 - a. binary
 - b. cross-sectional
 - c. time series
 - d. experimental

5. Which of the following is true of time series data?
 - a. The time series data is easier to analyze than cross-sectional data.
 - b. The time series data are independent across time.
 - c. The chronological ordering of observations in a time series conveys potentially important information.
 - d. A time series data set consists of observations on a variable or several variables at a given time.

6. Which of the following is an example of time series data?
 - a. Data on the unemployment rates in different parts of a country during a year.
 - b. Data on the consumption of wheat by 200 households during a year.
 - c. Data on the gross domestic product of a country over a period of 10 years.
 - d. Data on the number of vacancies in various departments of an organization on a particular month.

7. An empirical analysis relies on _____ to test a theory.
- a. common sense
 - b. ethical considerations
 - c. data
 - d. customs and conventions
8. The term ' u ' in an econometric model is usually referred to as the _____.
- a. error term
 - b. parameter
 - c. hypothesis
 - d. dependent variable
9. The slopes of econometric models are referred to as _____.
- a. parameters
 - b. statistics
 - c. error terms
 - d. hypotheses
10. _____ has a causal effect on _____.
- a. Income; unemployment
 - b. Height; health
 - c. Income; consumption
 - d. Age; wage
11. A cross-sectional data set consists of observations on a variable or several variables over time.
- a. True
 - b. False
12. The notion of ceteris paribus means "other factors being equal."
- a. True
 - b. False